

MediaTek (2454 TT)

100% EMIB-T, 100% Market Share in v9

Maintained Buy
Target price NT\$ 6,650

Street-high TPU estimates and up TP to NT\$6,650: MTK fell 7% yesterday on market noise around a potential v8t delay, insufficient EMIB supply, and share-loss concerns in v9. We hold an opposite view, as our research indicates the v8t/Zebrafish remains intact, demand is well above the 2027 CoWoS allocation of 180k, EMIB-T/substrate yields and supply are tracking better than expected, and MTK retains 100% share in the v9/2nm. We remain constructive, as MTK’s datacenter business is well-positioned for share gains in TPU across volume, value and workloads. Beyond TPU, we expect improving visibility on the 2nd ASIC project, likely SpaceX ASIC (our report: *Likely SpaceX Win on May 27*) instead of AI6, in 4Q26. We revised our earnings estimates by 0%/+3% in 2026E/2027E and accordingly lift TP from NT\$6,420 to NT\$6,650. We now forecast its datacenter ASIC to be NT\$2.8bn/\$18.6bn/NT\$75.7bn.

Market noise around adding CoWoS on top of EMIB-T makes little sense: Contrary to recent sell-side reports suggesting CoWoS as a way to improve v9 supply, we continue to believe v9, both Humufish and Triggerfish, will be 100% on EMIB-T, with life-cycle volume of >5m (vs bears at >2m). We reiterate our view (*Intel: Yield Expansion on Sept 15*) that two major suppliers have improved yields from 20–25% on initial testing vehicles in June to ~45% on the August vehicles and ~50% currently. This is on track to reach the >50% yield target in 1Q27. Supported by three substrate suppliers with dedicated lines (incl. Gama fab), we expect small-volume substrate deliveries in mid-2027 of ~100k and mass-volume by 4Q27.

Market noise around MTK’s share loss in v9 makes little sense: Contrary to worries over MTK’s share loss in v9, we expect MTK to gain 100% share in v9, with Humufish for training and Triggerfish for inferencing, while believe that there is no other 2nm project during the time frame. Near term, the key milestone to watch is the engineering tape-out in Nov, and as noted, we believe the passing bar is not high and believe the current chipset testing at TSMC for both compute tile and Serdes is largely on track. For v10, we still expect MTK to obtain the major SKU, Icefish, while AMD+MRVL or AVGO is competing with the other SKU, Merope.

Market noise around MTK’s v8t/Zebrafish overly bearish: Contrary to worries over MTK’s v8t/Zebrafish delay to 2Q27, we still expect the SKU to start shipments in 4Q26, backed by mgmt’s guidance of >\$2bn ASIC revenue in 2026. We believe the demand is much higher than the 2027’s CoWoS allocation of 180k and expect the life cycle to be well extended.

Risks: (1) AI demand slowdown; (2) consumer demand; (3) peer competition.

Profit forecast

	2024	2025	2026E	2027E	2028E
Revenue (m)	530,586	595,966	714,339	1,335,631	3,260,987
Revenue YoY (%)	22.4	12.3	19.9	87.0	144.2
Net profit (m)	106,387	105,319	111,197	235,264	596,417
Net profit YoY (%)	38.2	-1.0	5.6	111.6	153.5
EPS (NT\$)	66.9	66.2	69.8	147.8	374.6
P/E	73.4	74.2	70.3	33.2	13.1
ROE (%)	26.3	25.7	28.0	59.6	144.0

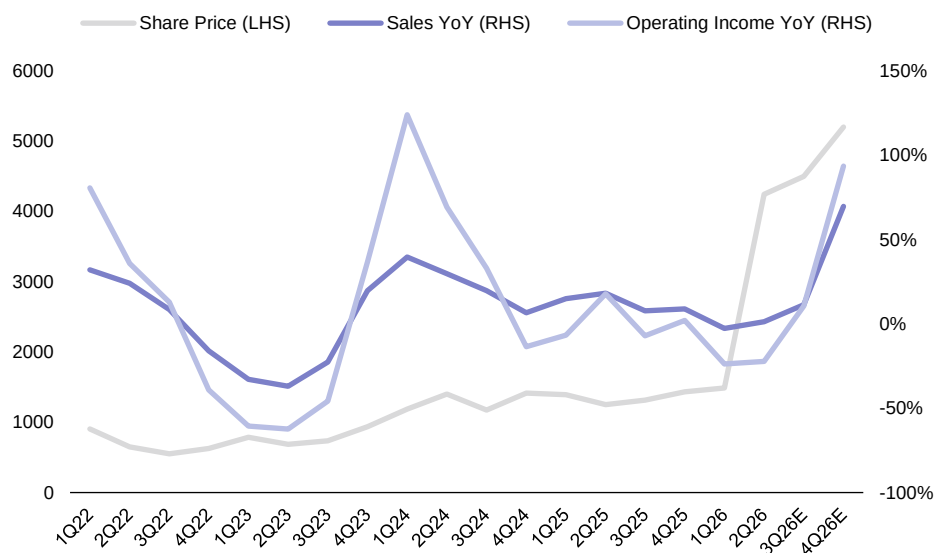
Source: Company data, GF Securities (Hong Kong) Brokerage.

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Earnings Forecast

Figure 1: MTK share price (NT\$), vs. revenue YoY (%), OP YoY (%)



Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 2: Google TPU Roadmap

	TPU v7 Ironwood	TPU 8i	TPU 8t	TPU v9t	TPU v9i	TPU v8i Ultra	TPU v10t	TPU v10i
Code name	Ghostfish	Sunfish	Zebrafish	Humufish	Triggerfish	Whalefish	Icefish	Merope
Time	4Q25	4Q26	4Q26	4Q27	4Q27	1Q28	4Q28	4Q28
Design Service - Compute	BRCM	BRCM	GOOG	GOOG	GOOG	BRCM	GOOG	AMD
Design Service - I/O	BRCM	BRCM	MTK	MTK	MTK	BRCM	MTK	BRCM or MRVL
Design Service - back-end	BRCM	BRCM	MTK	MTK	MTK	BRCM	GOOG or MTK	BRCM or MRVL
Compute	2*N3E	2*N3P	1*N3P	4*N2P	4*N2P	2*N3P	8*A14+16*N2P	8*N3
I/O	1*N5	1*N4	1*N4P	4*N3P	4*N3P	2*N4	6*N2P	4*N4
Memory	8*HBM3E 8hi	8*HBM3E 12hi	6*HBM3E 12hi	(6*HBM4E 8Hi)*2	(6*HBM4E 8Hi)*2	(6*HBM4E 8Hi)*2	16*HBM5 8-Hi	16*HBM4E 8-Hi
Memory spec	192GB	288GB	216GB	288GB	384GB	384GB	512GB	512GB
Memory BW (TB/s)	7.4	8.6	6.5					
Back-end	CoWoS-S	CoWoS-L	CoWoS-S	EMIB-T	EMIB-T	CoWoS-S/SOIC	EMIB-T/SOIC	CoWoS-S/SOIC

Sources: Company data, GF Securities (Hong Kong) Brokerage

Earnings Revision

By factoring in higher ASP/OP margin for ASIC in 2027, we revised our EPS estimates by 0%/+3% in 2026E/2027E. We now expect a strong 2028, driven by extended life cycle of Zebrafish and intact volume of Humufish/Triggerfish.

Figure 3: Earnings revision

NTD m	2025	2026E		2027E		Change (%)	
		Old	New	Old	New	2026E	2027E
Net sales	595,966	714,339	714,339	1,330,006	1,335,631	0%	0%
Gross profit	283,080	323,993	323,993	576,471	578,551	0%	0%
EBIT	103,470	112,548	112,548	251,779	259,731	0%	3%
Pre-tax Income	124,888	126,854	126,854	264,351	272,336	0%	3%
Net profit	105,319	111,197	111,197	228,232	235,264	0%	3%
EPS (NT\$)	66.2	69.8	69.8	143.4	147.8	0%	3%
Key ratios (%)							
Gross margin	47.5%	45.4%	45.4%	43.3%	43.3%		
Operating margin	17.4%	15.8%	15.8%	18.9%	19.4%		
Pre-tax margin	21.0%	17.8%	17.8%	19.9%	20.4%		
Net profit margin	17.7%	15.6%	15.6%	17.2%	17.6%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 4: MTK's TPU earnings assumptions

	2026	2027	2028
Revenue analysis (Units in m, USD)			
TPU v8x (A5921/Zebrafish)	0.5	3.4	1.2
TPU v8e (Humufish)		0.0	2.3
TPU v9x (Triggerfish)		0.0	2.2
TPU v8x - USD	5,500	5,473	5,126
TPU v8e - USD		13,000	13,000
TPU v9x - USD			18,000
Revenue (USD bn)	2.8	18.6	75.7
Revenue (NTD bn)	88	595	2422
%	12%	45%	74%

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 5: MTK's P&L forecast

(NTD m)	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E
Sales	595,966	149,151	152,183	158,226	254,779	714,339	278,822	338,678	366,866	351,265	1,335,631
COGS	312,886	80,096	81,875	-84,663	-143,713	-390,347	-156,805	-190,914	-208,834	-200,527	-757,080
Gross profit	283,080	69,055	70,308	73,563	111,066	323,993	122,018	147,763	158,032	150,739	578,551
Opex	179,611	46,164	47,440	-49,050	-68,790	-211,445	-72,494	-84,669	-84,379	-77,278	-318,821
Operating profit	103,469	22,891	22,868	24,513	42,276	112,548	49,524	63,094	73,652	73,460	259,731
Non-op profit	21,419	4,129	5,094	2,042	3,042	14,306	3,151	3,151	3,151	3,151	12,606
Pre-tax profit	124,888	27,019	27,962	26,555	45,318	126,854	52,675	66,245	76,804	76,612	272,336
Tax & Minority	19,569	2,865	3,627	3,457	5,708	15,657	6,591	11,532	9,486	9,463	37,073
Net Income	105,320	24,154	24,335	23,098	39,609	111,197	46,084	54,714	67,317	67,148	235,264
EPS (NTD)	66.2	15.2	15.3	14.5	24.9	69.8	28.9	34.4	42.3	42.2	147.8
Outstanding shares	1,592	1,592	1,592	1,592	1,592	1,592	1,592	1,592	1,592	1,592	1,592
Margin analysis											
Gross margin	47.5%	46.3%	46.2%	46.5%	43.6%	45.4%	43.8%	43.6%	43.1%	42.9%	43.3%
Operating margin	17.4%	15.3%	15.0%	15.5%	16.6%	15.8%	17.8%	18.6%	20.1%	20.9%	19.4%
Pre-tax margin	21.0%	18.1%	18.4%	16.8%	17.8%	17.8%	18.9%	19.6%	20.9%	21.8%	20.4%
Effective tax rate	15.7%	10.6%	13.0%	13.0%	12.6%	12.3%	12.5%	17.4%	12.4%	12.4%	13.6%
Growth (YoY%)											
Sales	12%	-3%	1%	11%	70%	20%	87%	123%	132%	38%	87%
Operating profit	1%	-24%	-22%	10%	93%	9%	116%	176%	200%	74%	131%
Net income	-1%	-18%	-13%	-8%	73%	6%	91%	125%	191%	70%	112%
EPS	-1%	-18%	-13%	-8%	73%	6%	91%	125%	191%	70%	112%
Product mix (%)											
Mobile	55%	49%	41%	39%	28%	38%	27%	23%	22%	25%	24%
Smart edge	40%	46%	53%	55%	68%	57%	69%	74%	75%	72%	73%
PMIC	5%	5%	6%	6%	4%	5%	4%	3%	3%	3%	3%

Sources: Company data, GF Securities (Hong Kong) Brokerage

Valuation and Recommendation

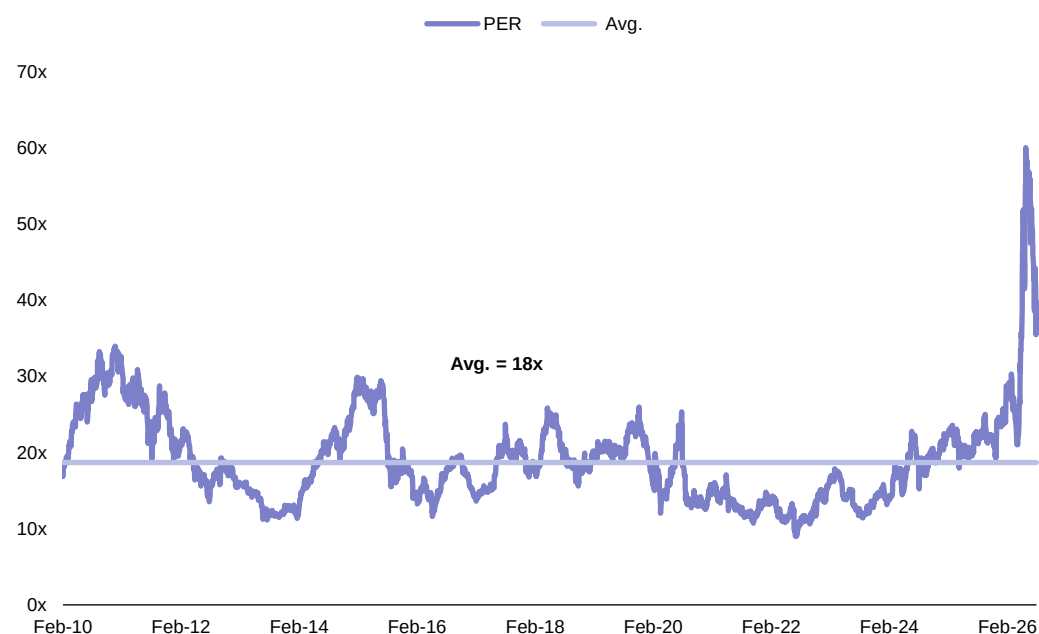
Maintain Buy with TP of \$6,650

We rate MTK (2454 TT) Buy and set our TP at NT\$6,650 which is based on 45x our 2027E EPS estimate or 18x 2028E EPS. We raise our 2027 multiple to reflect higher earnings growth in 2027/2028, but it suggests an undemanding valuation for 2028. MTK's P/E traded at an average of 18x since 2021 but was up to an average of 22x since 1Q24 when the company starts to see the AI opportunity. Our target multiple for 2027 is much higher than the mid-cycle level given Google TPU momentum and our bullish estimate of its 2027E/2028E earnings growth.

We adopt 2027 and/or 2028 as valuation basis to capture its datacenter ASIC potential which is the key market focus and expect the business to take off starting 2027. We adopt P/E methodology as we believe the market now mainly focuses on the company's earnings outlook, and we usually apply P/E method to downstream firms.

Fundamentally, we are positive on MTK, as it is well-positioned to expand its value position in smartphone SoCs amid the edge-AI trend, as well as the expansion into datacenter/enterprise ASICs and smart automotive solutions. The datacenter ASIC business is the key for upside, in our view, and we expect TPU to provide a volume boost for MTK, while the market will continue to monitor for its execution.

Figure 6: MTK's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

(1) AI demand slowdown; (2) consumer demand; (3) peer competition.

Balance Sheet					NTD mn
	2024	2025	2026E	2027E	2028E
Current assets	351,025	397,456	437,250	738,413	1,740,477
Cash and cash equivalents	208,967	237,128	224,409	260,173	413,377
Inventory	44,713	62,121	88,069	219,556	625,395
Accounts Receivable	58,414	67,235	87,647	189,270	532,229
Other current assets	38,931	30,973	37,125	69,414	169,476
Non-current assets	346,842	346,329	357,651	367,824	376,889
Long-term equity investment	169,970	168,912	178,912	188,912	198,912
Fixed assets	56,917	60,427	61,750	61,922	60,987
Other long-term assets	119,955	116,990	116,990	116,990	116,990
Total assets	697,868	743,785	794,901	1,106,236	2,117,366
Current liabilities	266,902	303,350	365,384	681,837	1,676,720
Accounts Payable	40,777	48,710	60,769	117,862	306,572
Short-term borrowings	8,919	4,481	4,768	3,338	1,335
Other current liabilities	217,207	250,159	299,847	560,637	1,368,813
Non-current liabilities	25,910	31,240	31,676	29,507	26,469
Long-term Debt	-	6,795	7,232	5,062	2,025
Other non-current liabilities	25,910	24,444	24,444	24,444	24,444
Total liabilities	292,812	334,590	397,060	711,343	1,703,189
Total Equity	405,055	409,195	397,840	394,893	414,177
Share Capital	16,017	16,039	16,039	16,039	16,039
Additional Paid-in Capital	80,703	65,023	40,023	-9,977	-109,977
Retained earnings	299,907	319,539	333,184	380,237	499,521
Minority interests	8,428	8,594	8,594	8,594	8,594
Total Liabilities & Equity	697,868	743,785	794,901	1,106,236	2,117,366

Income Statement					NTD mn
	2024	2025	2026E	2027E	2028E
Revenue	530,586	595,966	714,339	1,335,631	3,260,987
Cost of sales	267,200	312,886	390,347	757,080	1,969,249
Gross profit	263,386	283,080	323,993	578,551	1,291,738
Operating Expense	160,974	179,610	211,445	318,821	619,406
Operating profit	102,412	103,470	112,548	259,731	672,332
Interest Income	11,150	10,819	6,923	7,269	10,103
Interest Expense	453	652	756	663	382
Net other Non-op. Income/(Loss)	6,410	11,251	8,139	6,000	6,000
Pre-tax profit	119,519	124,888	126,854	272,336	688,053
Income tax	12,378	18,770	14,625	35,993	90,556
Profit for the year	107,141	106,118	112,229	236,344	597,497
Minority interest	754	798	1,032	1,080	1,080
Net profit to ord. equity	106,387	105,319	111,197	235,264	596,417
EPS (NT\$)	66.9	66.2	69.8	147.8	374.6

Cash Flow Statement					NTD mn
	2024	2025	2026E	2027E	2028E
Operating cash flow	141,801	155,333	144,157	312,622	770,425
Profit for the year	106,387	105,319	111,197	235,264	596,417
Depreciation & amortization	20,936	22,974	23,325	24,475	25,583
Change in working capital	11,573	22,616	9,235	52,484	148,026
Others	2,905	4,424	400	400	400
Investing cash flow	-26,534	-26,885	-35,048	-35,048	-35,048
Capex	-16,186	-16,846	-15,009	-15,009	-15,009
Change in investment	12,522	-6,674	-9,639	-9,639	-9,639
Others	-22,870	-3,365	-10,400	-10,400	-10,400
Free cash flow	115,268	128,449	109,110	277,575	735,378
Financing cash flow	-77,368	-100,288	-121,828	-241,811	-582,174
Change in Capital	-75,537	-101,180	-122,552	-238,211	-577,134
Net Change in Debt	1,093	2,357	724	-3,600	-5,040
Others	-2,924	-1,465	-	-	-
Exchange influence	8,292	-5,770	-	-	-
Net increase in cash	37,900	28,161	-12,718	35,764	153,204

Key Financial Ratios					
	2024	2025	2026E	2027E	2028E
Growth					
Revenue growth	22.4	12.3	19.9	87.0	144.2
Operating profit growth	27.0	7.5	14.5	78.6	123.3
Net profit growth	38.2	-1.0	5.6	111.6	153.5
Profitability					
Gross profit margin	49.6	47.5	45.4	43.3	39.6
Operating Profit Margin	19.3	17.4	15.8	19.4	20.6
Net profit margin	20.1	17.7	15.6	17.6	18.3
Key Ratio					
ROA	15.2	14.2	14.0	21.3	28.2
ROE	26.3	25.7	28.0	59.6	144.0
Stability					
Gross debt/equity	0.0	0.0	0.0	0.0	0.0
Interest Coverage	226	159	149	392	1,759
Current Ratio	1.3	1.3	1.2	1.1	1.0
Quick Ratio	1.1	1.1	1.0	0.8	0.7
Net debt/equity	Net Cash	Net Cash	Net Cash	Net Cash	Net Cash

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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